The Anatomy of an AI Agent

for Knowledge Workers

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About Me



Rob Windsor

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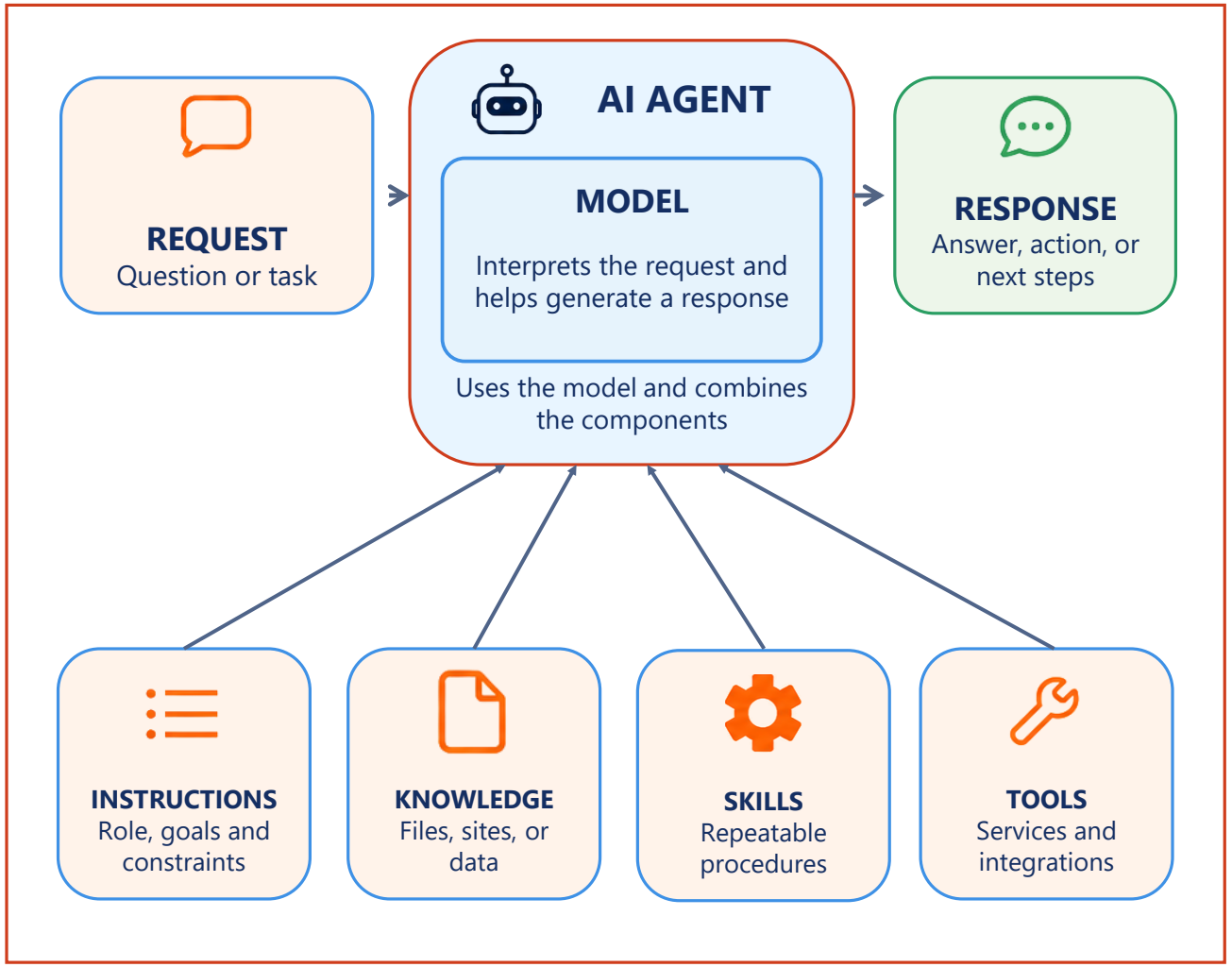


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What Is an AI Agent?

An agent combines a model with instructions and may also use knowledge, tools, and skills.

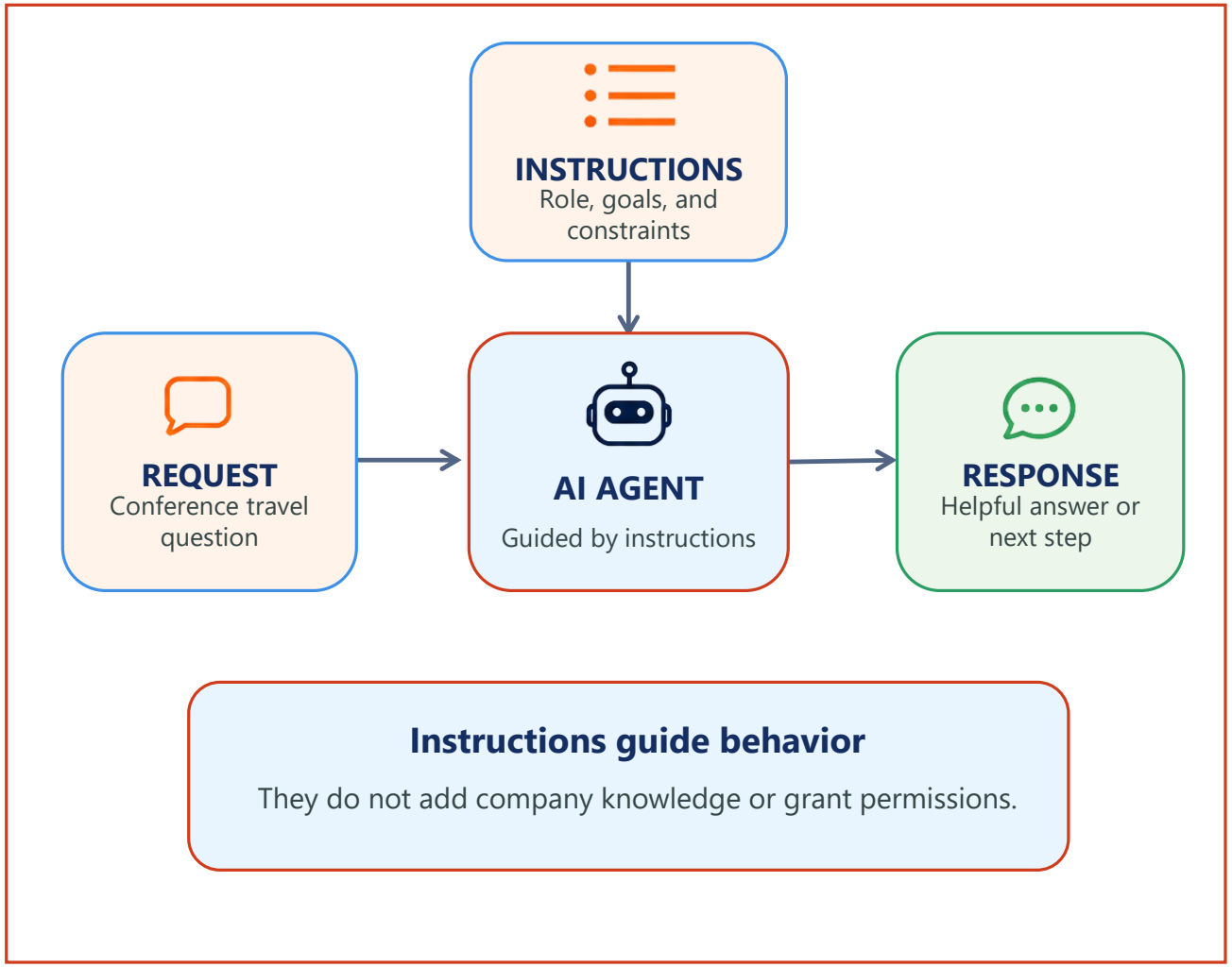
- **Understands your request**
  The language model interprets the request, generates responses, and may suggest a next step.
- **Follows instructions**
  A role, goals and constraints shape how it responds.
- **Uses relevant knowledge**
  Files, sites, or other data can provide useful context.
- **Can use skills**
  Reusable procedures guide repeatable tasks.
- **Can use tools**
  Connected services can extend what it can do, subject to permissions and approval.



Instructions Give an Agent a Job

Instructions define what kind of assistant an agent should be and how it should behave.

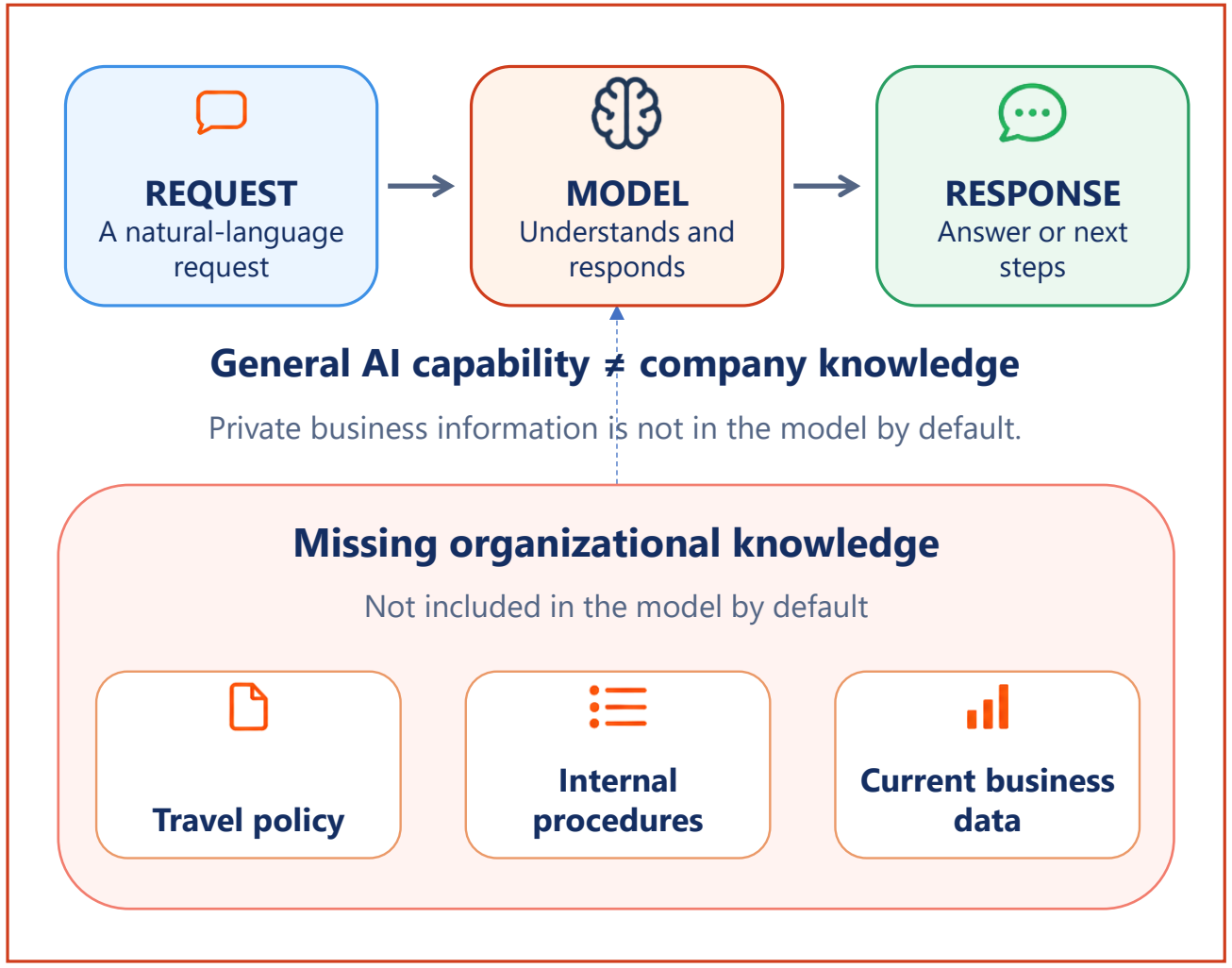
- **Defines the role**
  Sets the agent's purpose and role.
- **Sets expectations**
  Guides its response and priorities.
- **Reduces guessing**
  Prompts it to flag missing details, not guess.
- **Doesn't add knowledge or permissions**
  They do not supply private data or authorize actions.



The Model Is Not Your Company Knowledge Base

A language model can understand questions and generate answers. It doesn't automatically know your organization's private information.

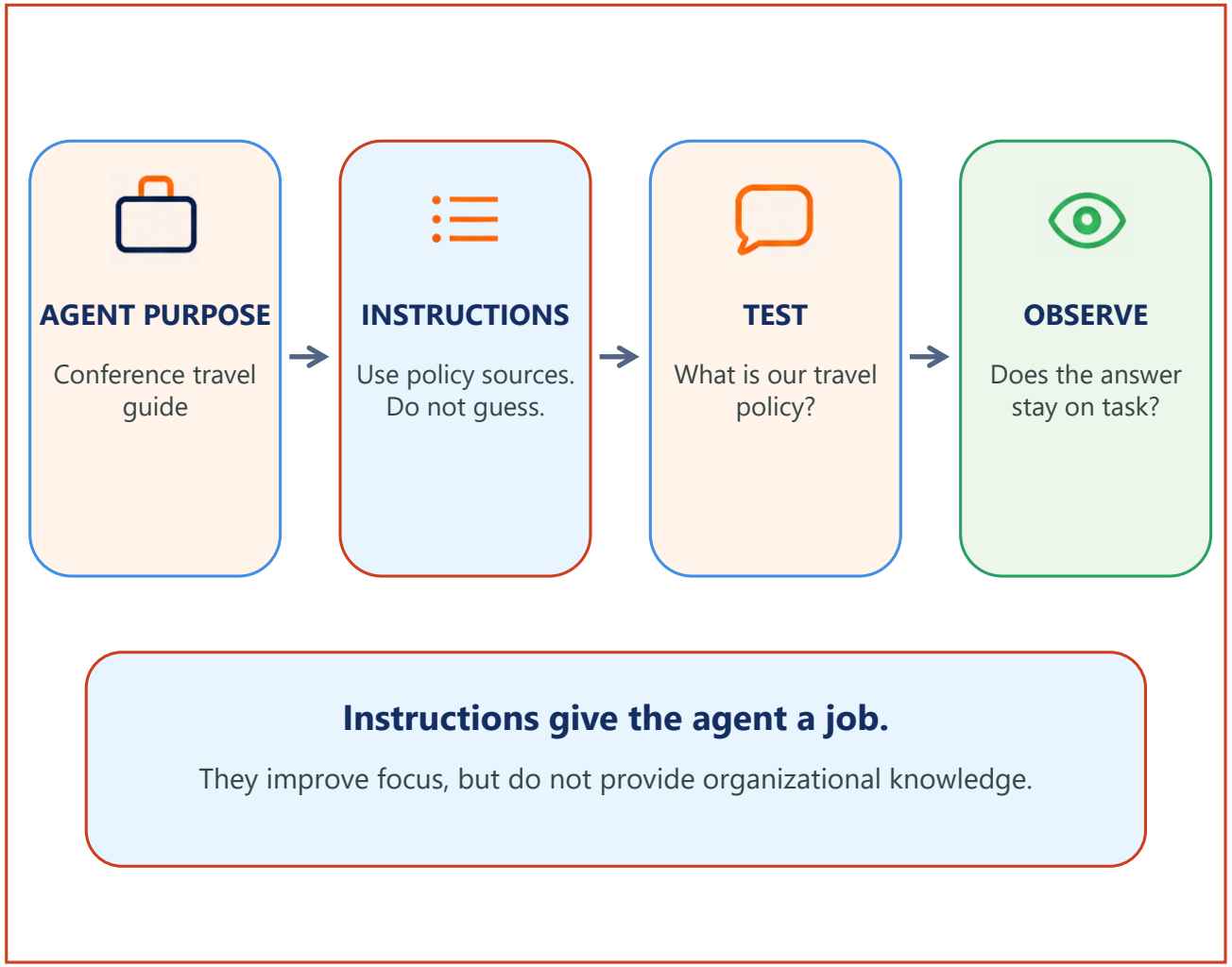
- **Understands the question**
  Interprets natural-language requests and generates a response.
- **Doesn't know private data**
  Company policies, procedures, and current business facts are not included by default.
- **Can still sound convincing**
  A fluent answer may look confident even when important information is missing.
- **Needs trusted sources**
  Provide relevant organizational knowledge and verify important claims.



Demo 1: Give the Agent a Role

We'll use a simple Microsoft 365 Copilot Agent Builder agent to see how instructions shape behavior.

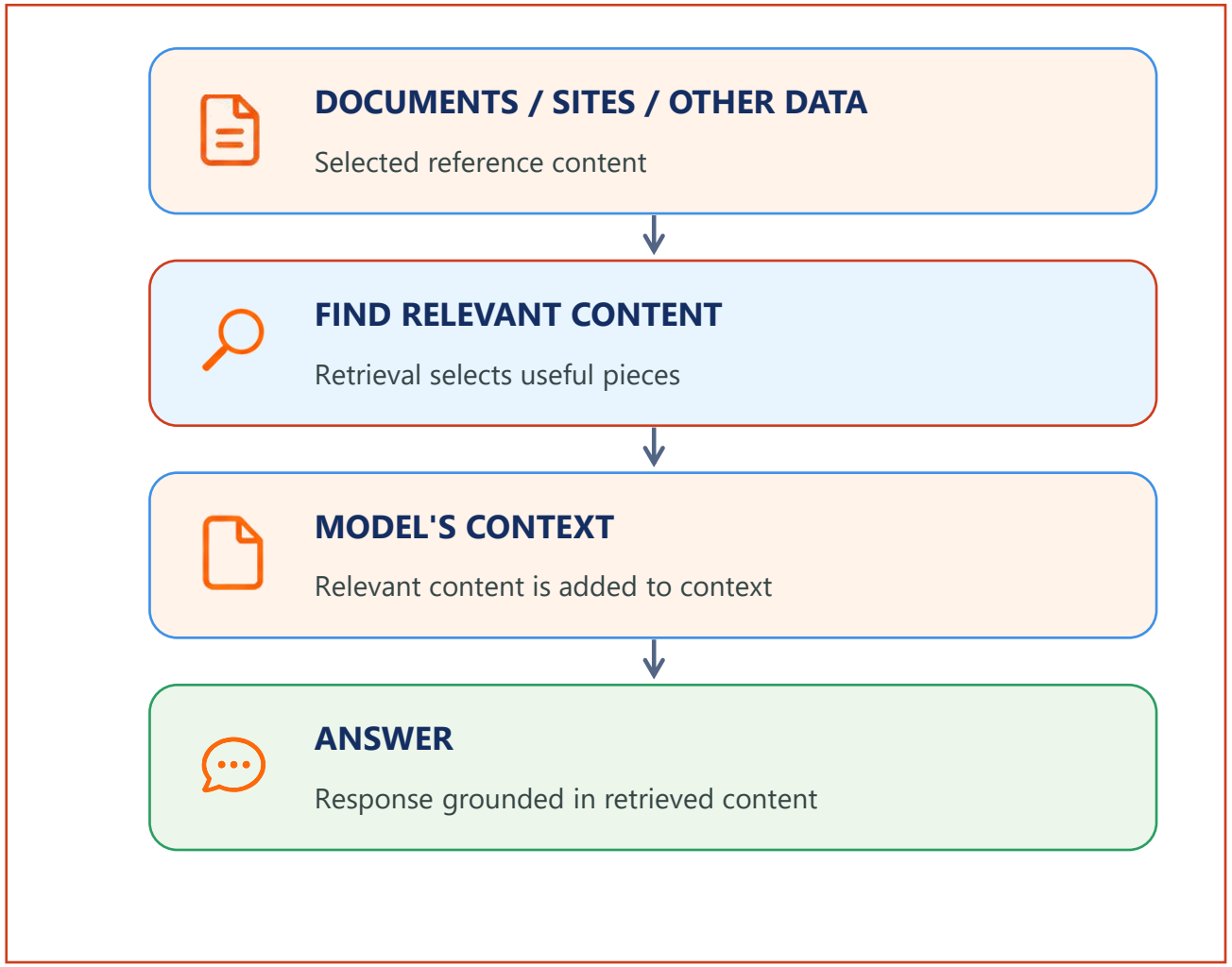
- **Agent purpose**
  Give the agent a clear job.
- **Focused instructions**
  Tell it how to answer and what not to guess.
- **Test question**
  Ask about conference travel policy.
- **Observe the result**
  Look for focused behavior.



Knowledge Is the Information the Agent Can Use

Knowledge is information available to an agent when needed.

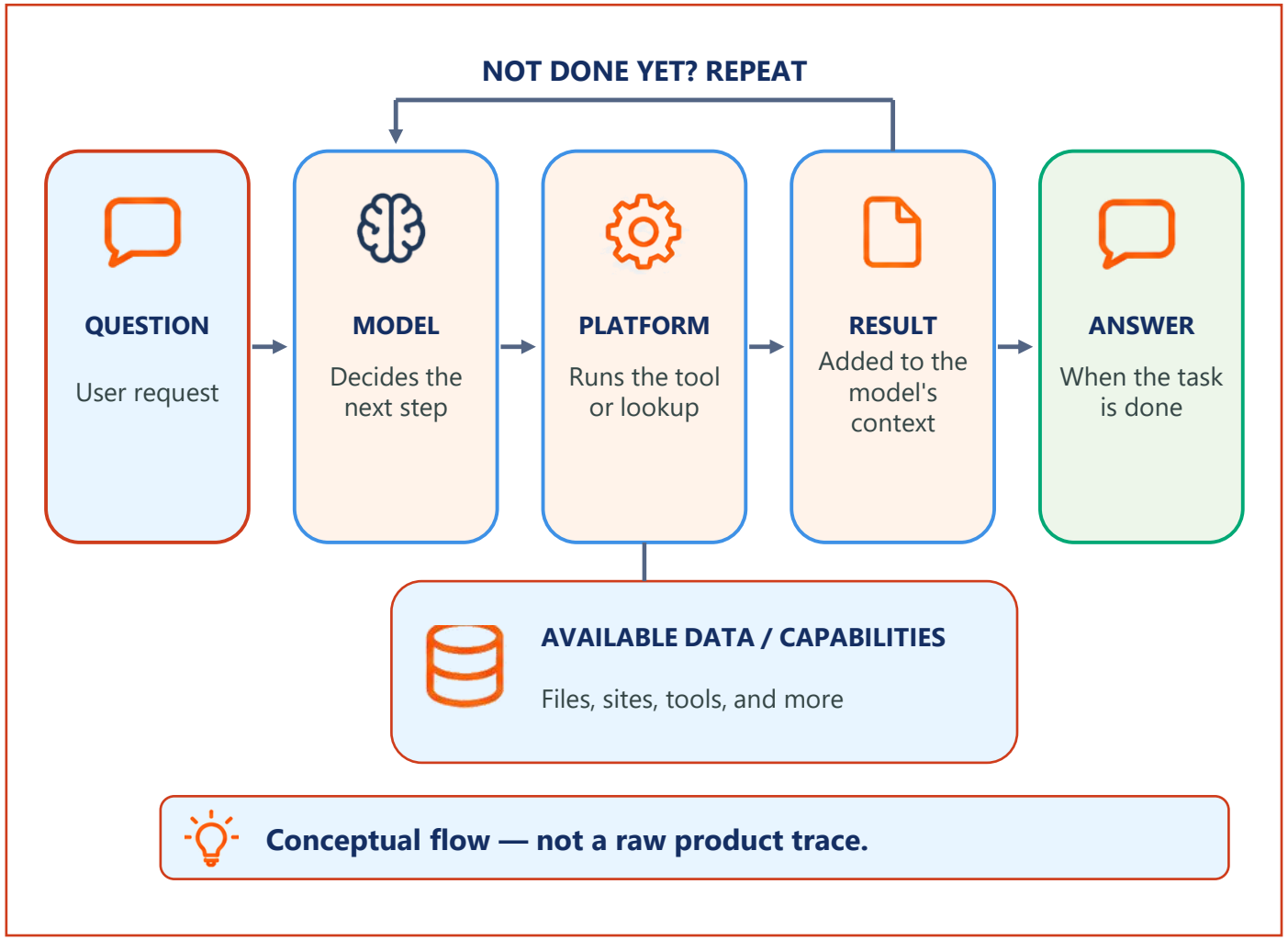
- **Selected sources:** Files, SharePoint content, and other supported data.
- **Retrieval:** Finds pieces relevant to the current question.
- **Important limit:** Sources help ground answers, but do not guarantee source-only results.



Orchestration Manages the Process

Orchestration is the behind-the-scenes coordination of an agent's activities. In a model-driven agent, this often works as a loop: take a step, check the result, and decide what happens next.

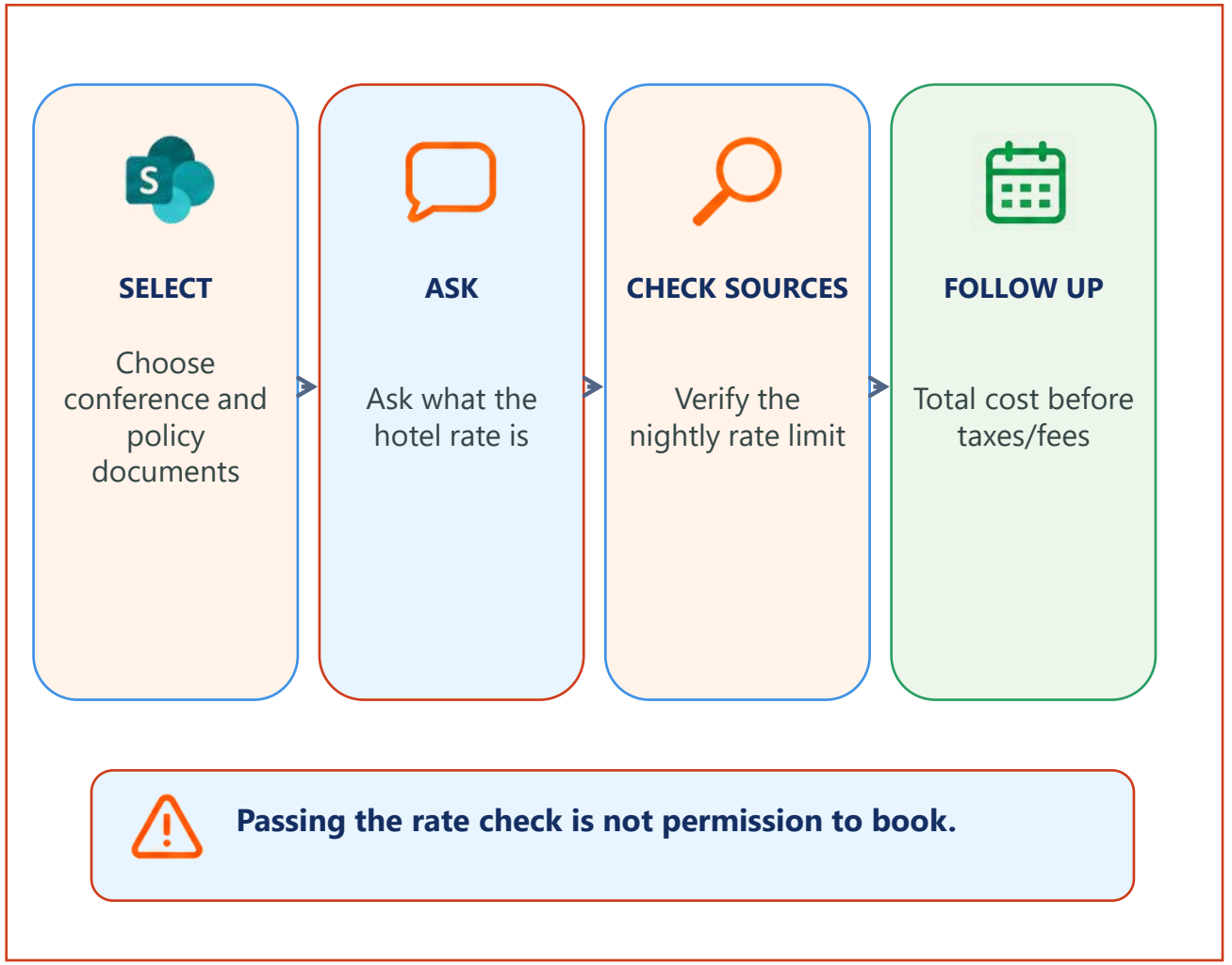
- The model decides the next step.
- The platform runs the tool or lookup.
- The result is added to the model's context.
- Loop continues until the agent can respond or needs input from the user.



Demo 2: Ground an Answer in Company Documents

Demo 2 uses the same Conference Prep Guide agent, now with company reference documents added.

- **Ask:** Does the selected hotel's nightly rate fit the $275 policy limit?
- **Inspect sources:** Verify the rate and policy in the selected documents.
- **Follow up:** What would a four-night stay at the selected hotel cost before taxes and fees?
- **Boundary:** Passing the rate check is not permission to book.



What Can You Verify?

What you see can help you verify an answer—but it is not a complete execution trace.

- Open the sources: Check whether cited policy supports the answer.
- Review the conversation: Look for missing facts and unsupported claims.
- Confirm actions separately: Check the real system to see whether anything happened.

WHAT YOU MIGHT SEE	WHAT IT DOES NOT PROVE
Answer + source links	All relevant sources were used
Conversation history	The answer is correct
Agent says "submitted"	A business action occurred

Source links support verification; they do not expose the full agent trace.

What Does the Model Receive?

Context is assembled for each response and may include:

Current question: The latest request.

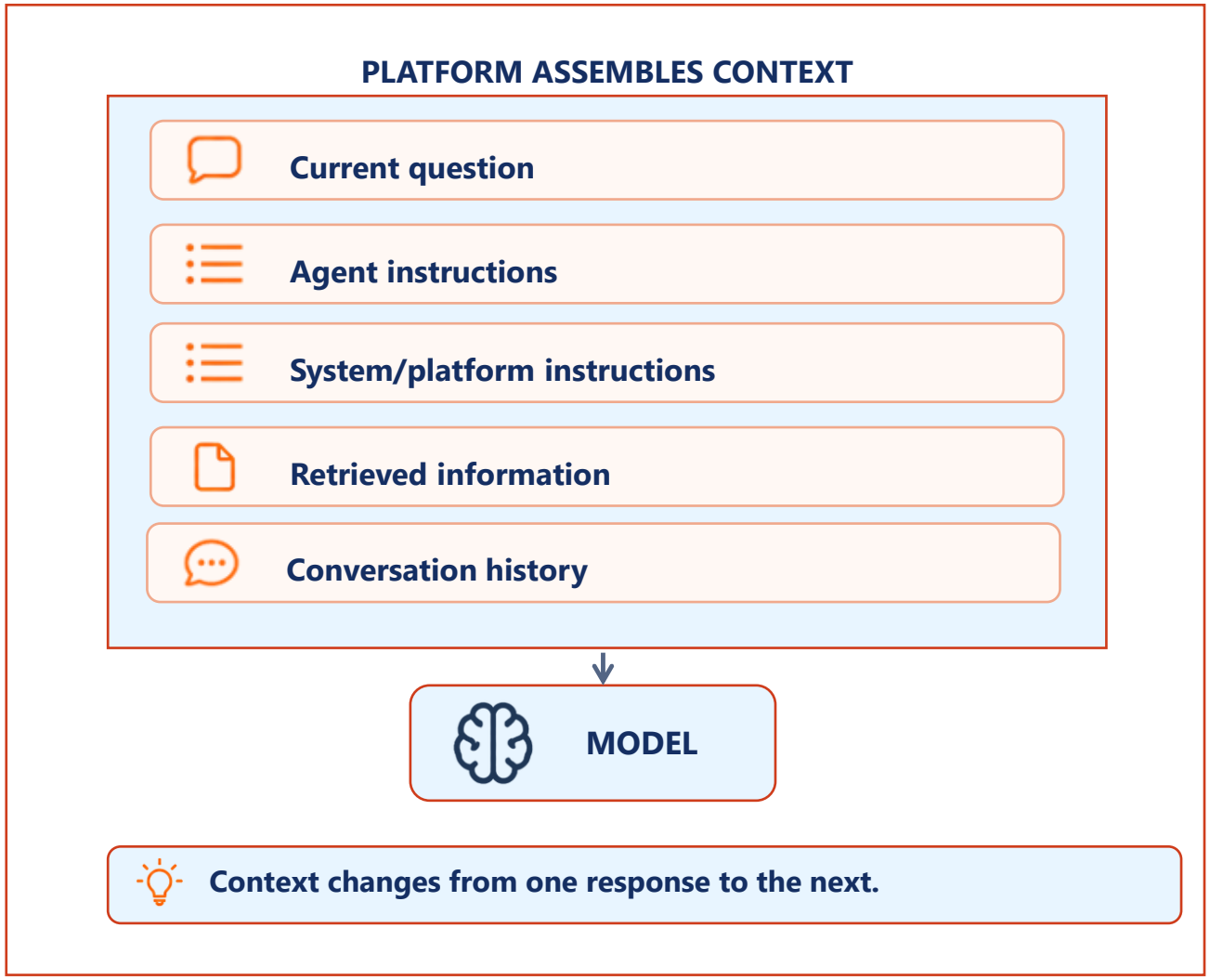
Agent instructions: Role, goals, and behavior guidance.

System/platform instructions: Additional directions from the product.

Retrieved information: Relevant content from files, sites, or other sources.

Conversation history: Relevant recent messages.

The platform selects and formats these inputs; you may not see all of them.



Conversation State Is Not Permanent Memory

Different kinds of information behave differently.

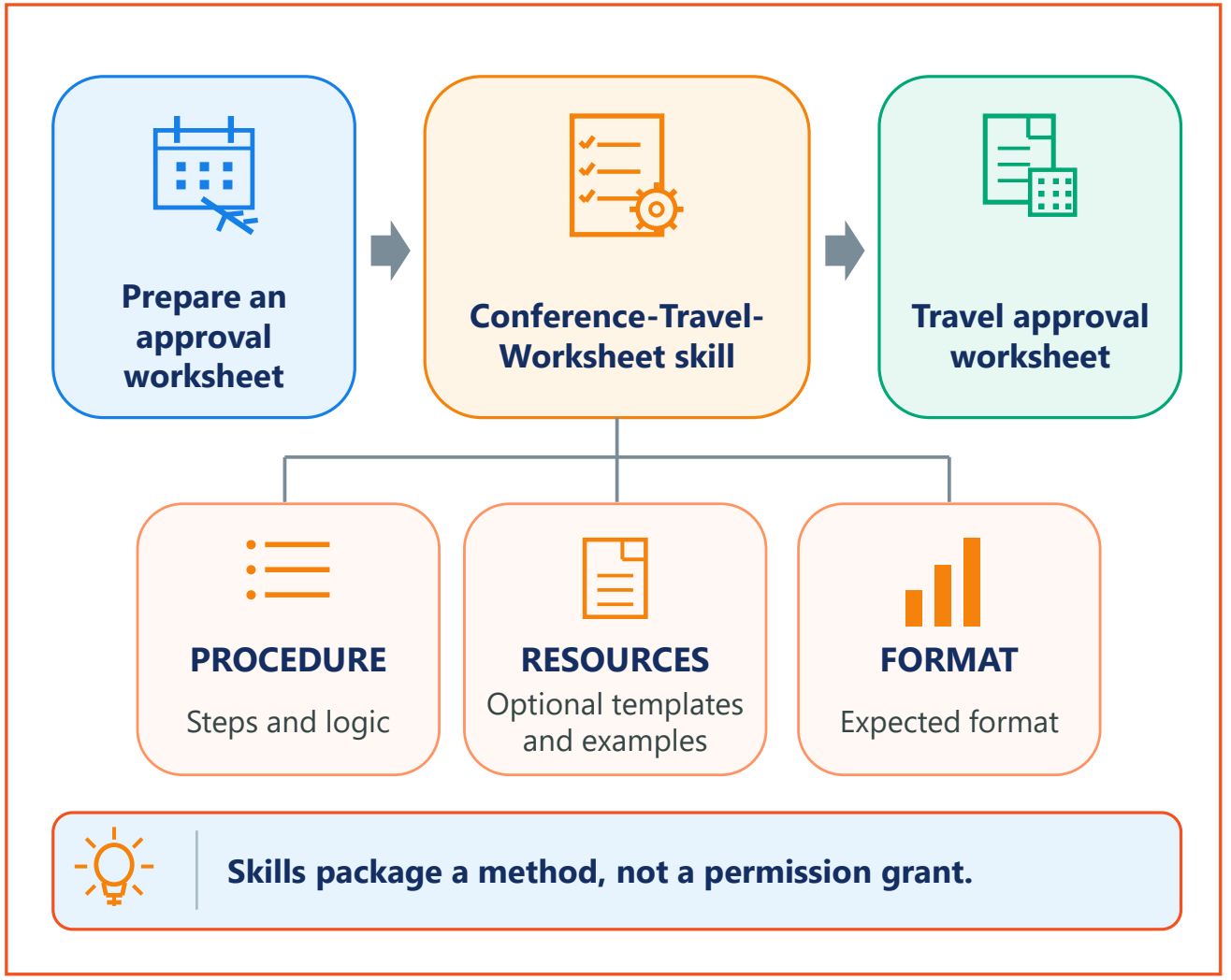
- Conversation state follows the current discussion.
- Organizational knowledge comes from accessible information sources.
- Business state records whether a real request or booking exists.
- Persistent memory is saved for future use only if supported and configured.

CONCEPT	EXAMPLE
Conversation state	"That hotel" refers to one already discussed.
Organizational knowledge	The approved travel-policy file.
Business state	Whether a real travel request exists.
Persistent memory	A saved preference for a future conversation, if supported.

Skills Package Repeatable Tasks

A skill supplies reusable, task-specific guidance and may include supporting resources.

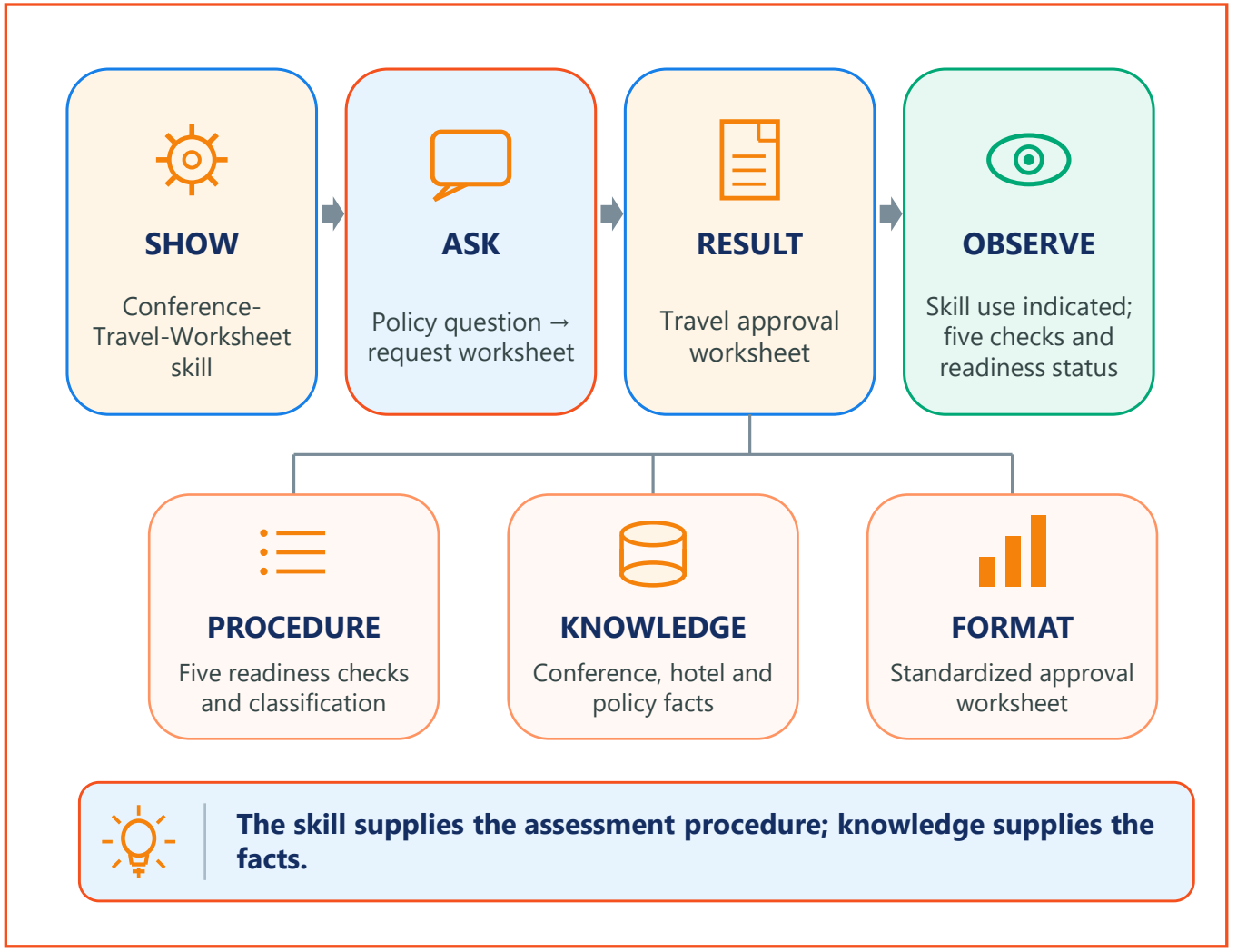
- **Packages a repeatable method**
  Defines how a recurring task should be done.
- **May include resources**
  Can include templates, examples, formats, or scripts.
- **Produces a predictable result**
  Helps the agent return a consistent output.
- **Does not replace knowledge or tools**
  Knowledge supplies facts. Tools provide callable capabilities.



Demo 3: Use a Skill to Produce a Travel Approval Worksheet

Demo 3 shows how the agent answers a normal travel question, then uses a task-specific skill when asked to produce an approval worksheet.

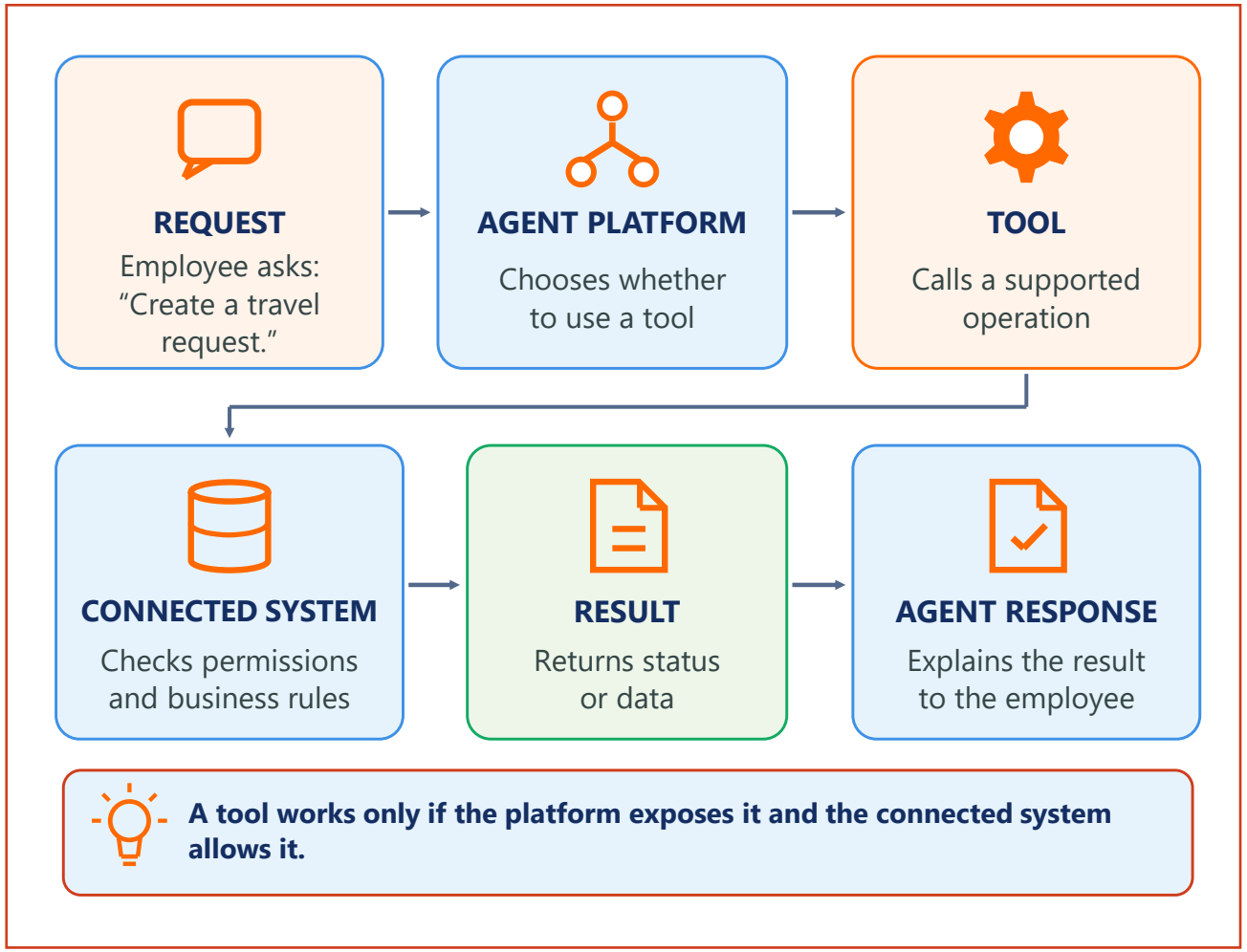
- **Show:** Show the Conference-Travel-Worksheet skill attached to Conference Prep Guide.
- **Ask:** Check the conference hotel and policy; then request a travel approval worksheet with check-in and check-out dates.
- **Observe:** The agent explicitly indicates skill use and produces the standardized worksheet.
- **Verify:** Conversation context supplies trip details; knowledge supplies rates and policy facts; the skill supplies the assessment procedure and format.



Tools Let an Agent Use External Capabilities

A tool lets an agent call a supported operation exposed by a platform or connected system. Tools can be built in, supplied through integrations, or custom-built—where the platform supports them.

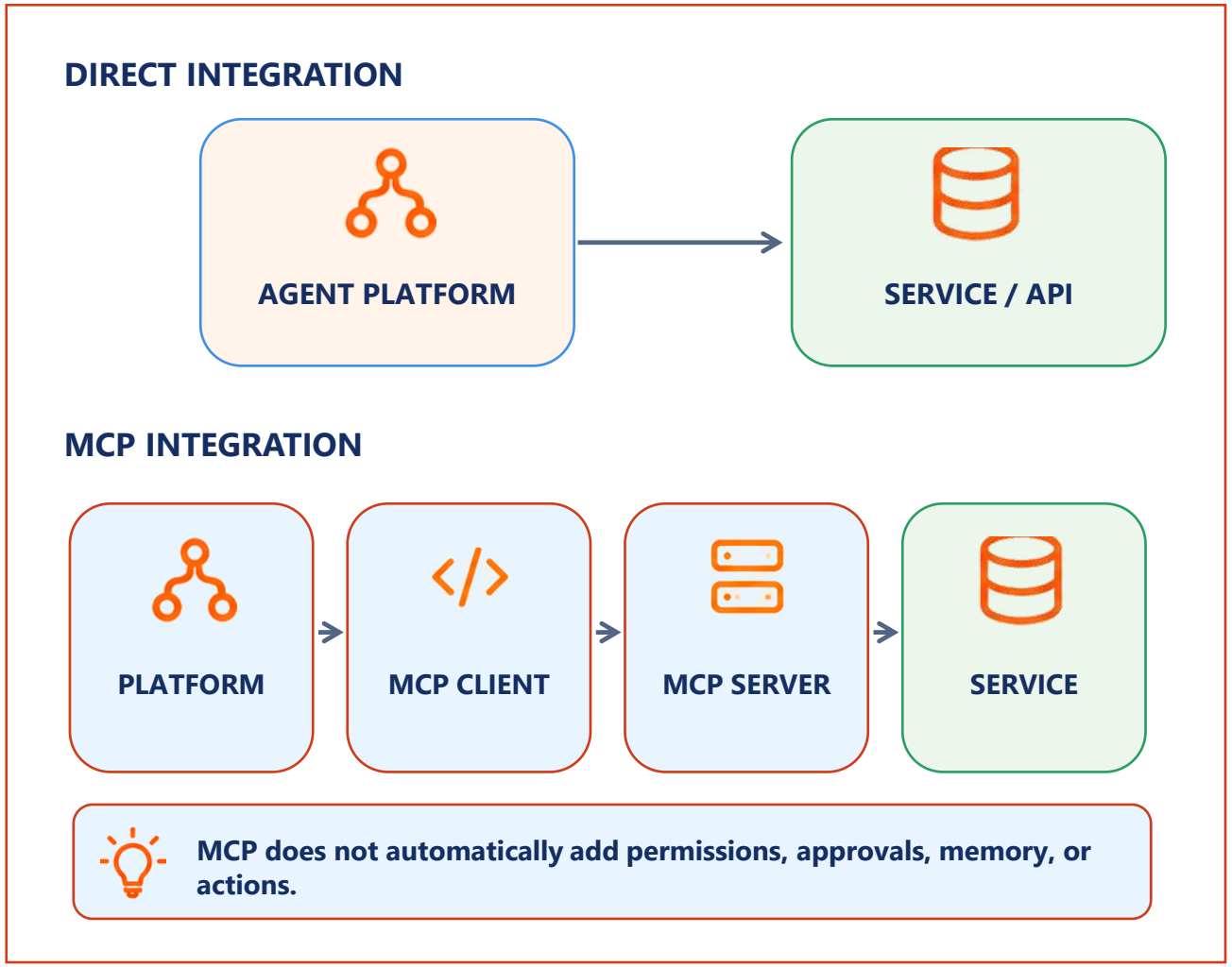
- Tools can read data, write data, or start a process.
- The platform decides which tools are available to the agent.
- The connected system enforces permissions, approvals, and business rules.
- A generated answer is not proof the tool call succeeded.



Model Context Protocol (MCP)

MCP is a standard protocol that lets AI applications discover and use tools and other capabilities exposed by external systems.

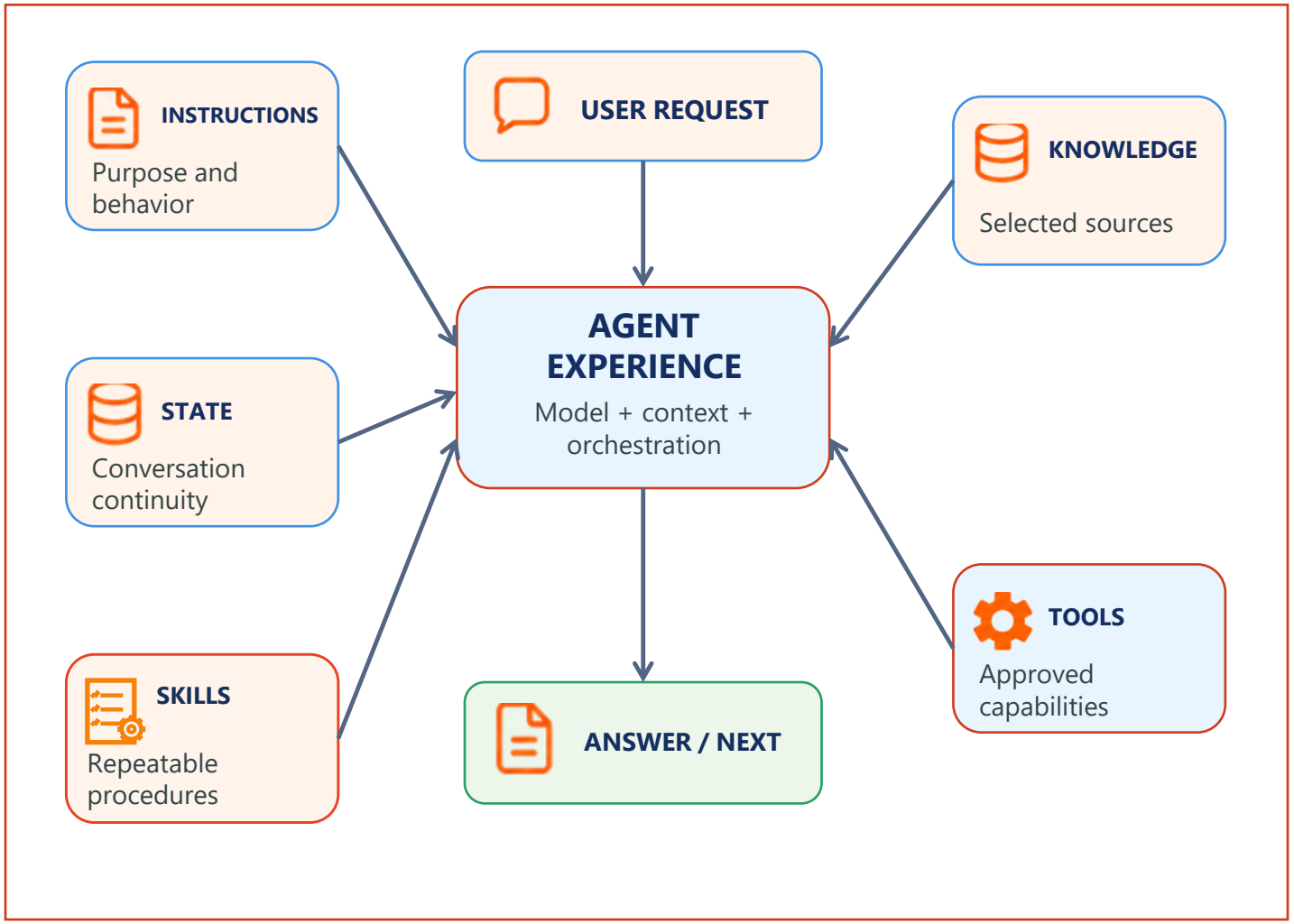
- Direct integration connects a platform to a service or API.
- MCP adds a standard client/server boundary.
- MCP is not the agent and does not supply permissions or approvals.



Put the Anatomy Back Together

The same components support a conference-travel request, even when the platform hides the implementation.

- Platform orchestration manages retrieval, model interaction, and progression.
- Instructions, knowledge, state, and skills shape the experience.
- Tools may reach approved systems directly or through MCP, when supported.



Resources

Build Agents with Microsoft 365 Copilot Agent Builder
https://learn.microsoft.com/microsoft-365/copilot/extensibility/agent-builder-build-agents

Get Started with Agents in SharePoint
https://support.microsoft.com/sharepoint/copilot-in-sharepoint/get-started-with-agents-in-sharepoint

Write Effective Agent Instructions
https://learn.microsoft.com/microsoft-365/copilot/extensibility/declarative-agent-instructions

Add Knowledge Sources to an Agent
https://learn.microsoft.com/microsoft-365/copilot/extensibility/agent-builder-add-knowledge

Model Context Protocol (MCP)
https://modelcontextprotocol.io

Add Custom Skills to an Agent in Microsoft 365 Copilot Agent Builder
https://learn.microsoft.com/microsoft-365/copilot/extensibility/agent-builder-add-skills